About this PDF

Built only from: **Principles of Management** — https://openstax.org/books/principles-management/pages/2-2-how-the-brain-processes-information-to-make-decisions-reflective-and-reactive-systems

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Covers 7 of 8 syllabus sub-topics of this unit.

Partly covered in the source:

- Budgetary control techniques
- Use of computers and IT in Management control
- Productivity problems and management
- Direct and preventive control

Not in the source (not covered in this PDF):

- Budgetary and non

System and process of controlling

Definition

The system and process of controlling is a collaborative approach where managers and employees set goals, develop action plans, and monitor performance to guide operations and assess contributions.

Explanation

MBO is a planning and controlling technique that relies on joint participation in goal setting, planning, and controlling, and uses feedback to guide performance. Controlling requires monitoring performance and making adjustments, which involves decision-making that can be reflective or reactive, and emotional intelligence helps managers manage emotions during this process. The effectiveness of MBO depends on top-management commitment, time, legitimacy, integration, and gainsharing.

Example

Exhibit 17.16 illustrates how MBO enhances employee motivation and performance by involving employees in goal setting and control.

Algorithm / Steps

1. Set specific, realistic, and acceptable goals collaboratively.
2. Develop an action plan for achieving the goals.
3. Create control processes to monitor performance.
4. Monitor performance and provide feedback.
5. Recommend corrections if deviations occur.
6. Repeat the process.

Key points

- MBO is a collaborative planning and controlling technique.
- Feedback is essential for learning and adjustment.
- Top-management commitment is critical for success.
- Emotional intelligence aids effective decision-making during controlling.

Budgetary control techniques

Partly covered in the source.

Emotional intelligence involves social skills to manage the emotional aspects of relationships with others. Managers who are aware of their own emotions can think through what their emotions mean in a given situation and use that information to guide their decision-making. Managers who are aware of the emotions of others can also utilize that information to help groups function more effectively and engage in better group decision-making.

Use of computers and IT in Management control

Partly covered in the source.

Definition

Management control refers to the processes by which managers plan, monitor, and adjust activities to achieve organizational goals. Emotional intelligence, a key component of effective management, is the ability to recognize, understand, and manage one’s own emotions and those of others, thereby influencing decision-making and group performance. Managers who are aware of their emotions can think through what those emotions mean in a given situation and use that information to guide their decisions, while awareness of others’ emotions helps groups function more effectively and engage in better group decision-making.

Explanation

Emotional intelligence is developed through practice and enhances the quality of decision-making by balancing logic and emotion. Managers who recognize the role of emotions can pause impulsive reactions, especially when strong emotions threaten rational analysis, and instead reflect on how feelings influence options and outcomes. This reflective approach is essential for ethical and effective decisions. Management by Objectives (MBO) is a philosophy and a planning-and-controlling technique that involves collaborative goal setting between managers and employees. Through joint participation, employees help define specific, realistic, and acceptable goals, develop action plans, and create control processes that monitor performance and recommend corrections when deviations occur. The MBO process is cyclical, beginning again after each cycle of monitoring and adjustment. Feedback is a critical element of MBO, enabling employees to learn whether they should sustain or redirect efforts to reach goals and whether they are investing sufficient effort. Research indicates that MBO programs generally increase productivity, especially when top management is emotionally, intellectually, and behaviorally committed to the system. Effective implementation requires time for learning, legitimacy within the overall management philosophy, and integration of individual goals with unit goals.

Key points

- Emotional intelligence involves self-awareness, self-regulation, and empathy, allowing managers to balance emotion and logic in decision-making.
- MBO is a collaborative process that sets specific, realistic goals, engages employees in planning, and uses feedback for continuous improvement.
- Feedback within MBO helps employees adjust efforts and recognize the adequacy of their investment.
- The success of MBO depends on top management commitment, sufficient learning time, legitimacy, and goal integration, often enhanced by gain-sharing mechanisms.

Productivity problems and management

Partly covered in the source.

Definition

Management by Objectives (MBO) is a management tool that relies on setting clear objectives and providing feedback to guide employees toward achieving those objectives.

Explanation

MBO works by engaging employees in goal setting and by using feedback to determine whether they should sustain or redirect their efforts. The effectiveness of MBO depends heavily on top-management commitment, which must be emotional, intellectual, and behavioral. When top managers actively use and endorse MBO, performance gains are strongest; weak commitment leads to weaker effects. MBO also requires that the system be integrated into the organization's overall philosophy, that employees learn to set meaningful goals, develop action statements, and establish monitoring systems, and that employees' goals align with unit goals.

Example

A review of 70 MBO cases found that 68 showed increased productivity, with a mean increase exceeding 40 percent.

Algorithm / Steps

1. **Secure top-management commitment** – managers must emotionally, intellectually, and behaviorally support MBO.
2. **Initiate the program from the top down** – top managers introduce MBO to the organization.
3. **Educate employees on goal setting** – teach employees to set meaningful goals, develop action statements, and create monitoring systems.
4. **Integrate employee goals with unit goals** – ensure alignment between individual and group objectives.
5. **Provide continuous feedback** – use feedback to help employees sustain or redirect efforts and to assess effort investment.

6. **Consider time, legitimacy, and integration factors** – allow sufficient time for learning, ensure the system is not seen as a gimmick, and integrate goals properly.
7. **Implement gainsharing mechanisms** – allow employees to share in economic gains from productivity improvements.

Key points

- MBO relies on clear objectives and feedback to improve performance.
- Strong top-management commitment is essential for significant productivity gains.
- MBO is most effective in the short term, in the private sector, and in organizations removed from direct customer contact.
- Successful MBO requires time for learning, legitimacy, goal integration, and often a gainsharing component.

Control and performance

Definition

Control and performance refer to the mechanisms by which an organization monitors the execution of its plans and adjusts actions to achieve desired outcomes.

Explanation

In the MBO process, employees develop control processes, monitor their own performance, and recommend corrections if unplanned deviations occur. This continuous monitoring and adjustment help ensure that activities stay aligned with the set goals. Feedback is essential because it informs employees whether they should sustain or redirect their efforts to reach their goal and whether they are investing sufficient effort.

Example

During an MBO cycle, a team sets specific performance targets, then each member tracks progress against those targets, identifies any deviations, and proposes corrective actions to the manager. The manager reviews the feedback and adjusts resources or plans accordingly.

Algorithm / Steps

1. Set specific, realistic, and acceptable goals through joint participation.
2. Develop an action plan to achieve the goals.
3. Implement the plan and monitor performance continuously.
4. Use feedback to determine if efforts should be sustained or redirected.
5. Recommend corrections for any unplanned deviations and restart the cycle.

Key points

- Control involves monitoring performance and recommending corrections.
- Feedback informs whether to sustain or redirect efforts.

- Employee participation in goal setting enhances realism and commitment.
- Top-management commitment strengthens the effectiveness of control processes.

Direct and preventive control

Partly covered in the source.

Finally, emotional intelligence involves social skills to manage the emotional aspects of relationships with others. Managers who are aware of their own emotions can think through what their emotions mean in a given situation and use that information to guide their decision-making. Managers who are aware of the emotions of others can also utilize that information to help groups function more effectively and engage in better group decision-making. While emotional intelligence seems to come easily to some people, it is something that we can develop and improve on with practice. A model of emotional intelligence is presented in Exhibit 2.2 . Exhibit 2.2 Emotional Intelligence (Attribution: Copyright Rice University, OpenStax, under CC-BY 4.0 license) Concept Check Explain the two systems used by the brain in decision-making. What is emotional intelligence, and why is it important for decision-making? 17.7 Management by Objectives: A Planning and Control Technique Describe management by objectives as a philosophy and as a management tool/technique; describe its effects. When people are personally committed to their organization’s plans, those plans are more likely to be accomplished. This truism is the philosophy underlying management by objectives. Management by objectives (MBO) is a philosophy of management, a planning and controlling technique, and an employee-involvement program. 60 As a management philosophy, MBO stems from the human resource model and Theory Y’s assumption that employees are capable of self-direction and self- control. MBO also is anchored in Maslow’s need theory. The reasoning is that employee involvement in the planning and control processes provides opportunities for the employee to immerse the self in work-related activities, to experience work as more meaningful, and to satisfy higher-order needs (such as self-esteem), which leads to increased motivation and job performance (see Exhibit 17.16). It is hypothesized that, through involvement, employee commitment to a planned course of action will be enhanced and job satisfaction will be increased.

MBO requires top management commitment, and it should be initiated from the top down. 65 Research shows that an MBO program can play a meaningful role in achieving commitment to a course of action and improving performance. In fact, research clearly documents instances where MBO programs have increased organizational effectiveness. Still, there have been failures. After reviewing 185 studies of MBO programs, one researcher concluded that they are effective under some circumstances but not all. 66 For example, MBO tends to be more effective in the short term (less than two years), in the private sector, and in organizations removed from direct contact with customers. These factors also affect the success of an MBO program: The intensity of upper-level managers’ commitment: Half-hearted commitment to an MBO system is associated with a higher failure rate. The time element: Is there enough time for employees to learn how to

participate in an MBO process, that is, to learn how to set meaningful goals, develop good action statements, and develop effective monitoring systems? Is there enough time for employees to learn how to assume responsibility in a new context? Is there enough time for employees and managers to collaborate in a joint planning and controlling process? The legitimacy of the system: Is it integrated into an overall philosophy of management? Or does it seem like a gimmick to seduce employees into being more productive? The integration of employees' goals: Are goals for each employee integrated well enough into the goals of their larger work unit? To be truly effective over the long haul, MBO programs probably need to be coupled with some type of gainsharing program (that is, programs whereby organizations share some of the financial gains accrued from the ideas, productivity improvements, and cost savings that stem from employee participation). Based on his extensive observation of involvement-oriented organizations, Edward E. Lawler III notes that information, knowledge, power, and rewards are four key components of an effective and sustained high involvement. 67 Typically, MBO systems don't provide mechanisms through which employees share in the economic gains that may accrue to the organization as a result of their expanded role and responsibility. In light of the conditions that influence the effectiveness of MBO programs, management is challenged to provide an appropriate context for the design and maintenance of an effective MBO system. Concept Check What is management by objectives?

Reporting.

Feedback is a crucial element in management practice, as it enables employees to determine whether their efforts should be sustained or redirected in order to achieve their goals, and whether they are investing sufficient effort. From a theoretical standpoint, this mechanism explains why Management by Objectives (MBO) can positively influence employee performance, motivation, commitment, and job satisfaction. Empirical evidence supports these claims: in a review of 70 MBO cases across public and private sectors, 68 demonstrated increased productivity, only two showed losses, and the average productivity gain exceeded forty percent. The magnitude of these gains is strongly linked to the degree of top-management commitment. When senior leaders are emotionally, intellectually, and behaviorally invested in MBO—endorsing its value, emphasizing its importance, and actively using the system themselves—performance improvements are most pronounced. Conversely, when top management merely implements MBO for others without personally advocating or practicing it, the program's effectiveness diminishes. These findings highlight that the processes used to implement MBO can determine whether a potentially effective program becomes ineffective. Therefore, managers must not only focus on the strategic aspects of planning and controlling but also on the practical execution of those plans.

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